Question #1 of 36

Question ID: 1675353

According to the Code of Ethics, which of the following statements is not correct? CFA Institute members are required to:

A) maintain and improve their competence and strive to maintain the competence of others in the profession. ✗

B) use reasonable care and exercise independent professional judgment. ✗

C) comply with the CFA Institute Global Investment Performance Standards. ✓

Explanation

The CFA Institute GIPS are voluntary standards for the industry. Firms are not required to comply with these standards when presenting performance. The other statements are each components of the CFA Institute Code of Ethics.

(Module 19.1, LOS 19.b)

Question #2 of 36

Question ID: 1675370

Which of the following is not part of the CFA Institute Code of Ethics? Members of CFA Institute will:

A) recommend investments that maximize returns for a given level of risk. ✓

B) strive to maintain and improve their competence and the competence of others in the profession. ✗

C) use reasonable care and exercise independent professional judgment. ✗

Explanation

Standard of Professional Conduct III(C), not the Code of Ethics, requires that investments be appropriate and suitable.

(Module 19.1, LOS 19.b)

Question #3 of 36

Question ID: 1675351

Which of the following activities would be following a component of the Code of Ethics explicitly?

A) Attending continuing education seminars on investing and inviting colleagues to come along. ✓

B) Consulting with colleagues about opinions you reach in your research. ✗

C) Maintaining a list of colleagues who have violated the CFA Institute standards. ✗

Explanation

The Code states that a member must "maintain and improve their professional competence and strive to maintain and improve the competence of other investment professionals." None of the other answers qualify.

(Module 19.1, LOS 19.b)

Question #4 of 36

Question ID: 1675358

Michael Malone, CFA, is an investment analyst for a large brokerage firm in New York who covers the airlines industry. After hours in his personal time, Malone maintains an online blog on which he expresses his personal opinions about various investment opportunities, including, but not limited to, the airlines industry. On his blog, he posts a very negative investment opinion about WestAir stock. Malone knows that WestAir's stock will be downgraded to a "sell" by his firm next week. Malone has *most likely* violated:

A) Standard II(A): Material Nonpublic Information. ✗

B) Standard IV(A): Loyalty. ✓

C) Standard VI(B): Priority of Transactions. ✗

Explanation

By expressing his investment analysis on his personal blog ahead of his employer, Malone deprived his employer of the benefits of his skills and abilities, and therefore, violated Standard IV(A): Loyalty. Malone did not possess material nonpublic information about WestAir, and no transactions have taken place.

(Module 19.1, LOS 19.b)

Question #5 of 36

Question ID: 1675346

Harold Klein, CFA, is an expert on ethical conduct in the investment banking industry and has been asked by an association of investment bankers to give a presentation on interpreting codes of ethics and standards of practice such as the CFA Institute Code of Ethics and Standards of Professional Conduct. In his presentation, Klein makes two key points:

1. Sound ethical judgment requires careful and thoughtful application of ethical standards, which are precise and exacting in nature.
2. An ethical professional must begin the ethical decision-making process by determining the applicable code and standards that govern the situation.

Determine whether Klein's statements are correct or incorrect and state your conclusion.

	Statement 1	Statement 2	
A)	Correct	Correct	✗
B)	Incorrect	Incorrect	✗
C)	Incorrect	Correct	✓

Explanation

Statement 1 is incorrect. Ethical standards and codes of conduct are not mathematically precise and exacting, but they are ambiguous and open to interpretation. This characteristic requires wisdom and a mature approach on the part of the professional. Statement 2 is correct. In deciding what course of action is ethically sound, a professional must first determine the applicable code and standards and assess their requirements in light of the circumstances.

(Module 19.1, LOS 19.b)

Question #6 of 36

Question ID: 1675355

The first component of the Code of Ethics does not explicitly say that a CFA Institute member will act in a certain manner with respect to which of the following groups?

A) Colleagues. ✗

B) CFA Institute members and candidates in the CFA Program. ✓

C) Prospective clients. ✗

Explanation

Participants in the CFA Program are not specifically mentioned in the Code of Ethics. The first component mentions duties to the public, clients, prospects, employers, employees, colleagues, and other participants in the global capital markets.

(Module 19.1, LOS 19.b)

Question #7 of 36

Question ID: 1675354

Which of the following is not part of the CFA Institute Code of Ethics?

A) Contractual provisions. ✓

B) Independent judgment. ✗

C) Competence. ✗

Explanation

Contractual provisions are not part of the Code of Ethics.

(Module 19.1, LOS 19.b)

Question #8 of 36

Question ID: 1675357

Which of the following is a component of the Code of Ethics? CFA Institute members must:

A) use reasonable care and exercise independent professional judgment. ✓

B) use particular care in determining applicable fiduciary duty. ✗

C) not knowingly participate or assist in any violation of laws, rules, or regulations. ✗

Explanation

Using reasonable care and exercising independent professional judgment is one of the components of the Code of Ethics, whereas the other statements are part of the Standards of Professional Conduct.

(Module 19.1, LOS 19.b)

Question #9 of 36

Question ID: 1675349

Tyler Hanson, CFA, was recently hired as a portfolio manager at Newton Management, Inc. Hanson is concerned about several ethically questionable situations that have presented themselves over the past few weeks, and has approached the firm's compliance officer for counsel as to the best course of action to take in light of each situation. The compliance officer has offered several suggestions to assist Hanson in evaluating the situations that he detailed in their meeting. Which of the compliance officer's following suggestions should Hanson not use in interpreting the Code and Standards to determine appropriate action?

A) Assess whether the general public would perceive the firm more favorably if the situation were to be objectively reported in the media, and if not, choose a different course of action. ✗

B) Assess whether the chosen action would provide an immediate positive economic benefit to the firm, and if not, choose a different course of action. ✓

C) Determine whether a fully informed client would likely view the chosen action favorably, and if not, choose a different course of action. ✗

Explanation

To interpret the CFA Institute Code of Ethics and Standards of Professional Conduct, it is suggested that a particular course of action be assessed as to its conformance with the Code and Standards, whether a well-informed client would view the action favorably, whether public knowledge of the situation enhances or damages the firm's reputation, and whether the action is commendable and sets a good example for others. Determining that an action provides an immediate positive economic benefit to the firm does not necessarily promote ethical decision-making, as some actions that are deceptive or illegal would certainly provide a firm with an immediate economic benefit, but would be unethical to pursue.

(Module 19.1, LOS 19.b)

Question #10 of 36

Question ID: 1675348

Which of the following statements concerning the interpretation and application of the CFA Institute Code of Ethics and Standards of Professional Conduct is *least accurate*?

A) Once the relevant sections of the Code of Ethics and Standards of Professional Conduct have been identified, the investment professional must determine if the course of action is consistent with the intent, whether the client would agree the action is the best alternative, and whether the firm's reputation would be enhanced or compromised. ✗

B) Ethical reasoning is mathematically precise, and the technical terms found in the Code of Standards and Standards of Professional Conduct are clear cut and unambiguous.

C) The Code of Ethics is a concise set of general principles that can be used to address questions as they arise, but as a practical matter, ethical decision-making is needed to apply the Code to complicated situations.

Explanation

Ethical reasoning is not mathematically precise, and the technical terms found in the Code and Standards are not necessarily unambiguous. All of the other statements are true.

(Module 19.1, LOS 19.b)

Question #11 of 36

Question ID: 1675337

Steve Jones is a member of CFA Institute but has not earned the CFA designation yet. CFA Institute is investigating Jones's activities. If Jones declines to cooperate, he may:

A) not be suspended because cooperating could be self-incriminating.

B) be suspended from membership.

C) not be suspended because he does not have the CFA designation yet.

Explanation

Refusing to cooperate with a CFA Institute investigation of a member's behavior could lead to suspension of membership or participation in the CFA Program.

(Module 19.1, LOS 19.a)

Question #12 of 36

Question ID: 1675363

Which of the following is a component of the Code of Ethics?

A) Members and candidates must not engage in conduct that compromises the integrity of the CFA designation or the security of the CFA examinations.

B) Practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession.

C) Transactions for clients and employers have priority over transactions in which a member or candidate is the beneficial owner.

Explanation

This is a component of the Code of Ethics. Others pertain to the Standards of Practice.

(Module 19.1, LOS 19.b)

Question #13 of 36

Question ID: 1675373

The CFA Institute Code of Ethics *least likely* requires a member or candidate to:

A) strive to maintain and improve the competence of others in the profession. ✗

B) understand and comply with all applicable laws, rules, and regulations. ✓

C) practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession. ✗

Explanation

Understanding and complying with all applicable laws, rules, and regulations is required by Standard I(A): Knowledge of the Law. The other choices are included in the Code of Ethics.

(Module 19.1, LOS 19.b)

Question #14 of 36

Question ID: 1675361

In dealing with the public and others, the CFA Institute Code of Ethics requires that CFA Institute members act with:

A) honesty, professionalism, and high ethical standards. ✗

B) integrity, competence, and respect. ✓

C) candor, skill, and honor. ✗

Explanation

Integrity, competence, and respect are mentioned by name in the first component of the Code of Ethics.

(Module 19.1, LOS 19.b)

Question #15 of 36

Question ID: 1675369

The CFA Institute Code of Ethics specifies that CFA Institute members and candidates must do all of the following except:

A) refrain from any conduct that compromises the reputation or integrity of the CFA designation. ✓

B) use reasonable care and exercise independent professional judgment when engaging in professional activities. ✗

C) act with integrity, competence, diligence, respect, and in an ethical manner. ✗

Explanation

Not compromising the reputation or integrity of the CFA designation is a part of the Standards of Professional Conduct, but it is not specifically mentioned the Code of Ethics.

(Module 19.1, LOS 19.b)

Question #16 of 36

Question ID: 1675368

According to the Code of Ethics, when practicing in a professional and ethical manner, the goal is to:

A) resolve conflicts between clients and employers. ✗

B) reflect credit on members and the profession. ✓

C) increase membership in CFA Institute. ✗

Explanation

The Code states that a member must "practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and their profession."

(Module 19.1, LOS 19.b)

Question #17 of 36

Question ID: 1675359

Liam McCoy has lunch with a wealthy client whose portfolio he manages. McCoy advises the client to double his current position in the JKM Corporation due to an anticipated increase in sales. In accordance with Standard (V): Investment Analysis, Recommendations and Actions, when McCoy returns to his office, he should:

A) verify the suitability of the investment recommendation before placing the client's order. ✗

B) identify other clients for whom JKM may be a suitable investment and notify them immediately of his recommendation. ✗

C) document the details of the conversation with the client regarding his investment recommendation. ✓

Explanation

Standard V(C): Record Retention requires that members and candidates document all recommendation and communications with clients. McCoy should document the details of the conversation, including any resulting investment decisions and/or actions. The suitability of the investment should have already been considered before the recommendation, and McCoy should not execute the order until the client instructs him to. Identifying other clients for this investment would fall under Standard III(B): Fair Dealing.

(Module 19.1, LOS 19.b)

Question #18 of 36

Question ID: 1675365

The Code of Ethics does not explicitly say that a CFA Institute member must do which of the following?

A) Reflect credit on the profession. ✗

B) Actively lobby for new laws to protect the public. ✓

C) Act with integrity. ✗

Explanation

The Code of Ethics says nothing about a CFA Institute member lobbying for new laws. In fact, legal issues are not a part of the Code. The Standards of Professional Conduct say that the member must obey laws.

(Module 19.1, LOS 19.b)

Question #19 of 36

Question ID: 1675367

The first component of the Code of Ethics does not explicitly say that a CFA Institute member will act with which of the following?

A) Solemnity. ✓

B) Competence. ✗

C) Integrity. ✗

Explanation

The first component mentions all of these except solemnity.

(Module 19.1, LOS 19.b)

Question #20 of 36

Question ID: 1675372

According to the CFA Institute Code of Ethics, CFA Institute members must:

A) maintain knowledge and comply with all applicable laws, rules, and regulations. ✗

B) act with integrity, competence, diligence, respect, and in an ethical manner when dealing with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets. ✓

C) preserve the confidentiality of information communicated by clients, prospects, or employers concerning investment matters. ✗

Explanation

Acting with integrity, competence, diligence, respect, and in an ethical manner when dealing with the public, clients, prospective clients, employers, employees, colleagues in the investment profession, and other participants in the global capital markets is one of the six components of the Code of Ethics, whereas the other statements are part of the Standards of Professional Conduct.

(Module 19.1, LOS 19.b)

Question #21 of 36

Question ID: 1675364

Which of the following is a component of the Code of Ethics? CFA Institute members must:

A) disclose to their employer all matters that reasonably could be expected to interfere with their duty to their employer or ability to make unbiased and objective recommendations. ✗

B) make reasonable efforts to detect and prevent violations by those who are under their supervision. ✗

C) strive to maintain and improve their competence and the competence of others in the profession. ✓

Explanation

Striving to maintain and improve their competence and the competence of others in the profession is one of the components of the Code of Ethics, whereas the other statements are part of the Standards of Professional Conduct.

(Module 19.1, LOS 19.b)

Question #22 of 36

Question ID: 1675371

Which of the following is a component of the Code of Ethics?

A) Members must not engage in any professional conduct involving dishonesty, fraud, deceit, or misrepresentation or commit any act that reflects adversely on their honesty, trustworthiness, or professional competence. ✗

B) Members must not knowingly participate or assist in any violation of such laws, rules, or regulations. ✗

C) Members must use reasonable care and exercise independent professional judgment. ✓

Explanation

This is a component of the Code of Ethics. Others pertain to the Standards of Professional Conduct.

(Module 19.1, LOS 19.b)

Question #23 of 36

Question ID: 1675362

Which of the following is not an act explicitly referred to in the Code of Ethics?

A) Using reasonable care when making investment recommendations. ✗

B) Improving professional competence. ✗

C) Giving free introductory seminars on investing to the public. ✓

Explanation

Although the Code says a member has obligations to the public, educating the general public for whatever reason is not implied.

(Module 19.1, LOS 19.b)

Question #24 of 36

Question ID: 1675347

Kevin Lowell, CFA, manages a pension plan for a national grocery retailer. All of the following are required as a part of Lowell's fiduciary duties, except:

A) act in a prudent and judicious manner. ✗

B) support the sponsor's management during proxy fights. ✓

C) place the client's interest before the employer's interest. ✗

Explanation

Members are required to act in the interest of their clients. In voting proxies, the client's interest must prevail over management's interest.

(Module 19.1, LOS 19.b)

Question #25 of 36

Question ID: 1675350

Which of the following is *least likely* a component of the Code of Ethics? In dealing with the public, clients, prospects, employers, employees, and fellow members, CFA Institute members must act with:

A) integrity. ✗

B) humility. ✓

C) respect. ✗

Explanation

Although acting with humility may be desirable, CFA Institute members are not required to do so. However, they should act in a manner that reflects credit on themselves and their profession.

(Module 19.1, LOS 19.b)

Question #26 of 36

Question ID: 1675356

All of the following are components of the Code of Ethics except:

A) striving to maintain and improve their competence and the competence of others in the profession. ✗

B) using reasonable care and exercising independent professional judgment. ✗

C) demonstrating diligence, independence, and thoroughness when preparing investment reports. ✓

Explanation

Demonstrating diligence, independence, and thoroughness when preparing investment reports is found in the Standards of Professional Conduct.

(Module 19.1, LOS 19.b)

Question #27 - 32 of 36

Question ID: 1675339

Are CFA candidates subject to the same disciplinary action for violations of the CFA Institute Code of Ethics and Standards of Professional Conduct (Code and Standards) for their actions during the CFA examination as other members of the CFA Institute?

A) Yes—CFA candidates are subject to the same disciplinary action for violations of the Code and Standards for their actions during the CFA examination. ✓

B) No—CFA candidates are not subject to the same disciplinary action for violations of the Code and Standards during the exam, but other sanctions may still be imposed upon them. ✗

C) No—CFA candidates are not subject to the same disciplinary action for violations of the Code and Standards during the exam because they are not members of the CFA Institute. ✗

Explanation

Standard VII(A): Conduct as Participants in CFA Institute Programs specifically references the candidate's responsibility not to engage in any conduct or commit any act that compromises the integrity of the CFA designation or the integrity or validity of the examinations leading to the award of the right to use the CFA designation. Candidates' actions at the exam site or while taking the exam are covered by this Standard. Candidates are subject to disciplinary action, including expulsion from candidacy in the CFA program.

(Module 19.1, LOS 19.a)

Question #28 - 32 of 36

Question ID: 1675340

Several weeks after the exam, Liu received a letter from the Professional Conduct staff of the CFA Institute's Professional Conduct Program concerning Liu's use of notes during the exam. When a proctor (complaining party) informs the CFA Institute Professional Conduct Program of a potential violation of the Code and Standards during the examination, the CFA Institute's Rules of Procedure permit the Professional Conduct staff to do all of the following except:

A) disclose the name, address, and phone number of the proctor (complaining party) to the candidate, regardless of the complaining party's wishes. ✓

B) designate another person to act on his or her behalf. ✗

C) provide the candidate with a notice of inquiry explaining the nature of the investigation. ✗

Explanation

Under the CFA Institute Rules of Procedure, the identity of the complaining party may be kept confidential at the complaining party's request. During the CFA exam, proctors and other exam administration personnel are the complaining parties when they complete proctor reports on suspected violations of the Code and Standards or the examination rules.

(Module 19.1, LOS 19.a)

Question #29 - 32 of 36

Question ID: 1675341

After conducting an investigation into Liu's actions, including reviewing proctor reports, speaking with proctors, and reviewing Liu's notes, the Professional Conduct staff notified Liu they were proposing the following sanction: voiding of exam results and a permanent expulsion from participation in the CFA program. Liu is devastated and determines to appeal the proposed sanction.

Which of the following *best* describes the option open to Liu to appeal the Professional Conduct staff proposed sanction?

A) Liu may admit wrongdoing and enter into a stipulation agreement with the designated officer for a lesser sanction. ✗

B) Liu may request a panel review. ✗

C) Liu may reject the proposed sanction. ✓

Explanation

After the Professional Conduct staff proposes a sanction for violation of the Code and Standards during an examination, the candidate can accept or reject the proposed sanction. If the candidate rejects the proposed sanction, the matter is referred to a panel consisting of members of the disciplinary review committee.

(Module 19.1, LOS 19.a)

Question #30 - 32 of 36

Question ID: 1675342

Liu rejected the charges, and a panel was convened to review the proposed sanction. The panel was convened by telephone, and panel members heard testimony from Liu and Yamasaki. Liu admitted that she had reviewed her notes, recognized her error, and expressed remorse and a commitment to avoid violations of the Code and Standards in the future.

A panel review has the authority to issue all of the following decisions with respect to sanctions except:

A) reverse the sanction. ✗

B) refer the matter back for further review. ✓

C) impose a lesser sanction. ✗

Explanation

The member or candidate may reject the charges brought against him or her, and the matter is then referred to a panel review. The panel, comprising disciplinary review committee members, determines whether a violation of the Code and Standards or testing policies has occurred—and if so, what sanction should be imposed. Sanctions include public censure, suspension of membership and use of the CFA designation, revocation of the CFA charter, and prohibiting candidates from further participation in the CFA program. There is no further appeal process once the panel review is concluded.

(Module 19.1, LOS 19.a)

Question #31 - 32 of 36

Question ID: 1675343

Throughout the investigation and appeal processes, Liu was concerned that her friends and colleagues would learn that she was under investigation and might be expelled from the CFA program.

Which of the following circumstances would permit the CFA Institute Professional Conduct Program to disclose information about a professional conduct investigation to external parties?

A) The Professional Conduct staff receives a call from a journalist about a case under investigation. ✗

B) Criminal activity is uncovered. ✓

C) A complaining party wants to know what the Professional Conduct Program is doing to investigate his complaint. ✗

Explanation

The Professional Conduct staff must maintain strict confidentiality regarding complaints, investigations, proceedings, and records. Exceptions to the confidentiality policy will only be made in the following circumstances: (a) failure to disclose the findings has the potential to cause serious harm to the profession, (b) criminal activity is uncovered, (c) confidentiality is waived by the member or candidate, and (d) disclosure is required by law. However, if a public censure, timed, or permanent suspension of membership and the right to use the CFA designation is imposed on a covered person, the CFA Institute may publish the covered person's name and information about the violation. This information is usually published in *CFA Magazine* for violations regarding professional practice and in *Candidate Bulletin* for exam-related violations.

(Module 19.1, LOS 19.a)

Question #32 - 32 of 36

Question ID: 1675344

After she received the Notice of Inquiry from the Professional Conduct staff, Liu had fully cooperated with the investigation into her actions during the CFA exam. If a member or candidate receives a Notice of Inquiry about an alleged violation of the CFA Institute Code and Standards and fails to cooperate fully with the investigation, which of the following sanctions is the Professional Conduct staff likely to impose?

A) Suspension or prohibition from further participation in the CFA program. ✓

B) Private censure. ✗

C) One-year timed suspension. ✗

Explanation

The Professional Conduct staff is likely to suspend and prohibit a candidate from further participation in the CFA program for failure to cooperate with a professional conduct investigation. Other sanctions may include public censure, suspension of membership, and use of the CFA designation.

(Module 19.1, LOS 19.a)

Question #33 of 36

Question ID: 1675366

According to the Code of Ethics, a member reflects credit on the profession when a member:

A) places the clients first. ✗

B) consults with other members on a regular basis. ✗

C) practices in a professional and ethical manner. ✓

Explanation

The fourth component of the Code says that a member must "practice and encourage others to practice in a professional and ethical manner that will reflect credit on members and the profession." Neither of the other choices are implied by the Code.

(Module 19.1, LOS 19.b)

Question #34 of 36

Question ID: 1675352

According to the Code of Ethics, the professional judgment of a member should be:

A) independent. ✓

B) dependent on that of his/her colleagues. ✗

C) guided by the SEC guidelines. ✗

Explanation

The Code of Ethics states that the CFA Institute member must "use reasonable care and exercise independent professional judgment." None of the other answers resemble anything in the Code.

(Module 19.1, LOS 19.b)

Question #35 of 36

Question ID: 1675360

In accordance with Standard III(A): Loyalty, Prudence and Care, which of the following statements is *least accurate*? Members and candidates should:

A) vote all proxies on behalf of clients in a responsible manner.

B) submit to clients, at least quarterly, itemized statements detailing all of the period's transactions.

C) use client brokerage to the sole benefit of the client.

Explanation

Because of the time and expense involved in voting a proxy, members and candidates are not required to vote every proxy. A cost-benefit analysis can be performed to determine if it is necessary to vote a proxy.

(Module 19.1, LOS 19.b)

Question #36 of 36

Question ID: 1675345

Which of the following statements regarding disciplinary procedures is *least accurate*?

A) If the CFA member or candidate rejects the sanction, the charges and sanctions may be reviewed.

B) The sanctions imposed by the Professional Conduct staff are final and conclusive.

C) A review panel is created from Disciplinary Review Committee members.

Explanation

In the event of misconduct by a member or candidate the CFA Institute Professional Conduct staff decides whether a violation occurred and what action to take. If the Professional Conduct staff decides a disciplinary sanction is appropriate, the member or candidate may decide to reject the sanction. In this case, the matter is referred to a panel of Disciplinary Review Committee members comprised of volunteer CFA charterholders. The panel decides whether a violation of the Code and Standards occurred and what sanction should be imposed.

(Module 19.1, LOS 19.a)